

Free-mail or Paid e-mail?

With many e-mail services going 'paid' what do these service providers have to say to justify their actions? *Anil Patrick R.* and *Dipayan Choudhary* speak with the representatives of two prominent e-mail service providers

We think that a company that continues to give free services will not be considered serious in its commitments. People are willing to pay for premium services. We have seen this in practice and we can now confirm that it is the serious user who knows

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move on to a paid model because it allows us to provide advanced features to our users. In fact, hits have actually gone up after we announced the new paid services as compared to previous months. This tells us that we are now taken seriously and are considered as a long-term player by those who come to view our site.

Even advertisers are happy

Paid e-mail services are not going to work as long as there are free, reliable e-mail services available. A customer will pay for an extra service or for any value-added services, for example, extra disk space or spam free e-mail. But for a basic service, the paid model is not going to work at all. When these same services are available free of cost, why

disturbing while some actually gain information from the ads that they view.

Do the sites offering paid e-mail services have any service for which people are willing to pay? If they have, then there would be some users who would shift from free to paid

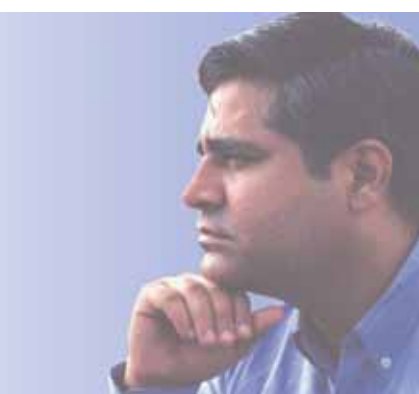
Rajesh Sawhney

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"It is the serious user who knows the value of the service and this helps us become very user-focused"

"When these same services are available free of cost, why should one pay for it?"



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the value of the service and this helps us become very user-focused. We get to know each of the users personally in order to provide customised services. The free service we earlier offered was more like a sample service, where you became confident that users were obtaining value for money before you started charging fees.

In our case, we are confident that the services we are giving are actually of value to users.

Lots of users wanted live stock quotes from us and were willing to pay for these. Instances like these forced us to

with the model we have adopted. This is because of the fact that they get to know the demographics of our users clearly. The consumer we have with us is one who has already shown his willingness to purchase things on the Internet. This helps advertisers target the premium segment of our site, which is a very attractive proposition for them too.

At the end of the day, every business wants its users to pay for the services it provides and we have started charging for our services because we felt that they are good enough to be charged for. ■

should one pay for it?

We have multiple sources of revenue and we are providing the e-mail service because users of our portal need it. We are doing this also in order to have a customer build-up and, may be at a later date, sell other services to them. The problem that other services face is that with the failure of the advertisement revenue model, they do not have alternative business models. As a result, they have had to shift to a 'pay for e-mail' model. Besides, right now, the market is not mature for these advertising-free e-mail services because most users do not find ads

services, but I can't say how much the drop in the number of users would be. These services won't be able to sustain themselves with the low number of users. We are in a very thin-margin business and the vanilla e-mail offering is not going to work, as the market is not developed enough for this. We are still at a very early stage of the business.

Indiatimes is providing free services and our revenue model is such that we would continue to provide free e-mail services to the people. We are sure that our model can sustain us and we see no reason to go paid. ■

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Sunjeev Swarup September 10 at 4 p.m. *Rajesh Sawhney* September 20 at 4 p.m.

